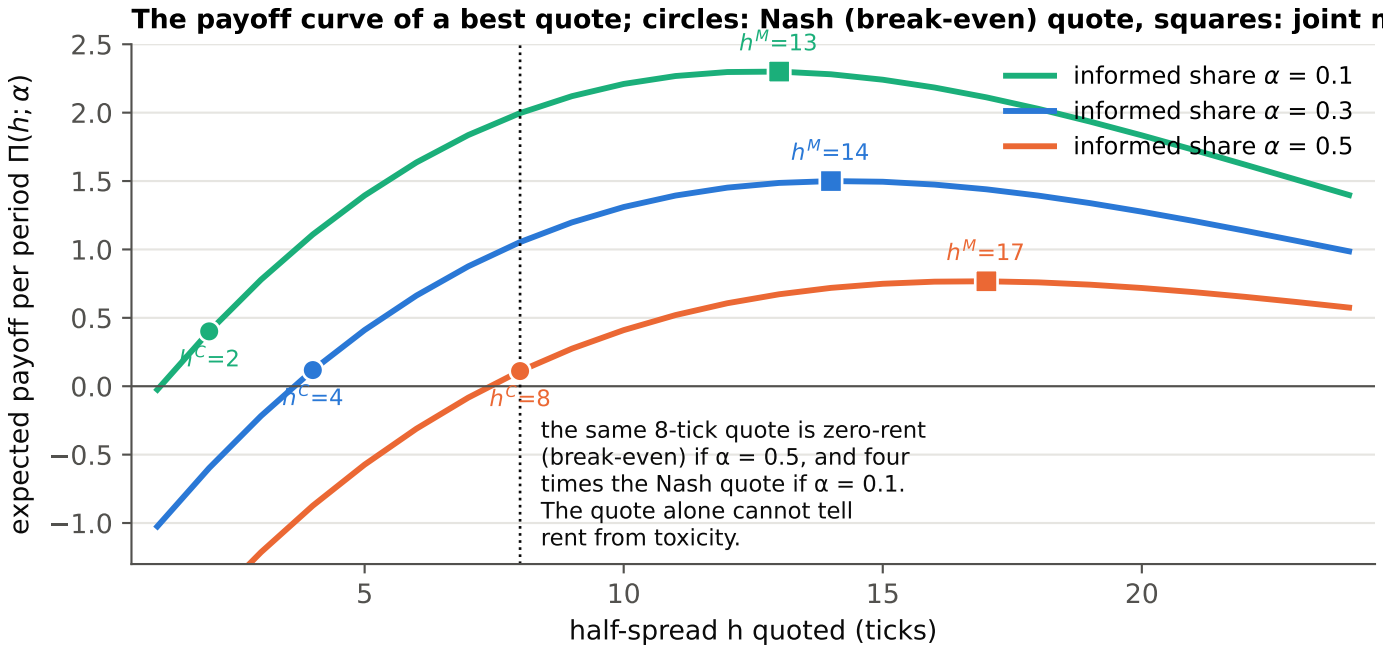
The payoff curve of a best quote; circles: Nash (break-even) quote, squares: joint m
expected payoff per period Π(h; α)
half-spread h quoted (ticks)
informed share α = 0.1
informed share α = 0.3
informed share α = 0.5
h^M=13
h^M=14
h^M=17
h^C=2
h^C=4
h^C=8
the same 8-tick quote is zero-rent
(break-even) if α = 0.5, and four
times the Nash quote if α = 0.1.
The quote alone cannot tell
rent from toxicity.
2.5
2.0
1.5
1.0
0.5
0.0
−0.5
−1.0
5
10
15
20